Incentives, not technology

Some technologists think that the complicated structures of representative democracy were invented because, before modern computer technology, it was impossible to listen to each individual. This leads to design proposals where every person votes, using the Internet, on various policy questions.

The large-scale use of referendums is, for the first time, technologically feasible. Direct democracy is, for the first time, feasible. The problem runs deeper. It is not incentive compatible.

Our only way forward is to make representative democracy work. This is not to say that representative democracy always works well. But our way forward as a republic lies in learning how to make representative democracy work, and not in taking policy questions to the people.

Summing up

In an ideal world, the state is a benevolent actor, which establishes the right priorities, and is able to marshal the resources to achieve good outcomes. This is not the world that we live in. Public policy in India is characterized by a great deal of failure. We tend to establish the wrong objectives, and then we tend to fail on achieving these objectives.

What are the sources of state failure in India?

1. The *resource constraint:* Each rupee of state expenditure in India is likely to come at a cost of Rs 3 for society.
2. The *information constraint:* Policymakers mostly lack high-quality data about the society in which they seek to operate.
3. The *knowledge constraint:* Public policy is a research process, and we in India lack the foundations of knowledge for operating this research process.
4. The *administrative constraint:* We fare poorly at resolving the principal–agent problem between the individual and the state. We